UKAH
BOOKKEEPING SERVICES

TRUST ACCOUNTING COMPLIANCE

The 10-Minute LSO Trust Accounting Compliance Checklist.

A quick judgment - free health check for your trust ledgers, no audit required

Compliance-focused financial support for Ontario solo and small law firms.

A 10-Minute Trust Ledger Health Check

.The Law Society of Ontario runs spot audits to protect the public — not to catch honest, hardworking lawyers off guard. Most solo and small-firm practitioners are already doing the right things; they just haven't had a quiet moment to confirm the books reflect it.

When your trust accounting is structured correctly, a full health check takes less than 10 minutes. Work through the three checks over the next few pages. Every box you can confidently check is one less thing to think about before your next reconciliation — or your next audit.

STEP 1. CORE REQUIREMENTS

The Three-Way Reconciliation Test

By-Law9requiresadetailedreconciliation of each trust account every month, comparing three numbers that all need to agree:

- ☐ **The pennies match** — Your trust bank statement balance, your trust ledger balance, and the sum of every individual client matter balance agree to the exact cent.
- ☐ **It's on time** — Your monthly reconciliation is completed, signed, and dated by the 25th of the following month — the cadence By-Law 9 expects for your monthly trust comparison.
- ☐ **No“plug”numbers** — There's no “unexplained variance” or “adjustment to balance” line quietly forcing the three totals to agree.

STEP 2 · GOOD HYGIENE

Ledger & Matter Management

Thisiswheremostsmall,avoidableslip-ups happen — and where auditors look first:

- ☐ **No negative client ledgers** — No individual client matter balance ever dips below zero. A negative balance almost always means one client's funds were used to cover another's disbursement — a commingling issue the LSO treats seriously.
- ☐ **Client and matter on every line** — Every trust transaction references the specific client and matter — not a generic “Retainer received.”
- ☐ **Recorded promptly** — Receipts and disbursements are entered as they happen, not batched up at month-end. Best-practice standard: within 2–3 business days.

STEP 3 · COMMINGLING DEFENSE

Bank Fees & Trust/Operating Separation

Two habits that quietly protect the line between client money and firm money:

- [ ] **Bank charges stay off trust** — Credit card processing fees, wire fees, and monthly service charges are covered from your Operating Account — never deducted from client trust funds.

- [ ] **Earned fees move promptly** — Once an invoice is issued, the earned portion is transferred from Trust to Operating within a reasonable time. Nothing sits "parked" in the trust ledger once it's been billed.

If You Found a Gap

Good — that's exactly what this checklist is for.

A negative ledger, a missed sign-off, or an unexplained variance is fixable. Almost every gap we see traces back to one root cause: trust compliance being handled as an afterthought instead of a monthly system.

Three things worth doing this week:

1. Pull last month's three-way reconciliation and confirm it's signed and dated.
2. Scan your client trust ledger list for any balance sitting below zero.
3. Check your last five trust entries for a missing client or matter reference.

Why Ontario Law Firms Work With Us

- **An authorized ProfitSolv / CosmoLex referral partner** — trust and general ledgers are built the way your practice management software already expects.
- **AAT-qualified, QuickBooks Online ProAdvisor certified**, and currently pursuing the CPA Canada designation.
- **Trust reconciliation and LSO compliance reviews run as a monthly system** — not a year-end scramble before your annual filing.

Turn the page when you're ready for a second set of eyes.

Want a second set of eyes on it?

Book a confidential, no-obligation 10-minute back-officereview. We'lllookat your trust ledger together and flag anything worth tightening before your next reconciliation — or before an auditor does.

Book Your Free Review →

calendly.com/chidinma-ukah/30min

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This checklist reflects Law Society of Ontario By-Law 9 and general Ontario trust accounting practice as of 2026. It's an educational tool, not legal advice — for guidance specific to your firm, refer to the LSO's Bookkeeping Guide or your own compliance counsel.